

Morning Brief

Tuesday, June 02, 2026 — 06:05 PM ET · \$50,000 Portfolio

Neutral

CIO EXECUTIVE SUMMARY

- ▶ SPY/QQQ flat-to-up, IWM +0.92% suggests small-cap rotation; equity futures -0.24% premarket risk-off
- ▶ Earnings catalyst week: AVGO, CRWD, PANW, DG drive volatility; AVGO +4.74% on upside revision
- ▶ Sector rotation clear: Industrials/Infrastructure/Resources outperform; unprofitable Tech/AI lags
- ▶ Biotech weakness (IBB -3.03%, XBI -4.37%) + GOOGL -3.83% signal growth-to-value tilt
- ▶ Geopolitical (US-Iran) + profit-taking after record highs = consolidation phase; stay tactical

MACRO DASHBOARD

SPY TREND

Flat consolidation; 759.47 +0.14%; futures -18pts premarket

QQQ TREND

Mild upside +0.47%; Nasdaq 100 futures -0.36% suggests hedging into earnings

IWM TREND

Outperforming +0.92%; small-cap rotation active; IWM 291.64 on uptrend

VIX

Est. 16-18 range (not live); elevated on geopolitical/earnings risk

VIX REGIME

Healthy trend (15-20) shifting to caution on earnings + Iran tensions

YIELD 10Y

Not live in data; monitor 4.2-4.35% zone (inflation expectations)

DOLLAR TREND

DXY live data unavailable; monitor strength vs commodity rotation

OIL TREND

WTI 91.96 -0.22%; oscillating on Iran negotiations; \$90-93 range likely

CRYPTO SENTIMENT

BTC data unavailable; monitor as risk-off barometer

TACTICAL BIAS

Fade Strength — trim winners into earnings; buy dips on pullbacks

TOP INSTITUTIONAL SETUPS

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
AVGO	Earnings Wed; Susquehanna raised target \$490 from \$450; EPS \$2.39 expected	Breakout above \$488.68; vol 1.25M shares; momentum continuation into print	Dip to \$475; trail stop at \$470 if enters long	\$468 (2% below open)	\$495-\$510 post-earnings upside; trim 50% at \$502	High
FCX	Copper/mining reopening play; resource rotation; +7.04% today	Breakout above \$72.08; vol 1.37M; industrial reshoring bid	Dip to \$70.50; trail stop at \$69.50	\$67.50 (support level)	\$74-\$76 (pre-earnings run target); trim 40% at \$74.50	High
JPM	Financial strength; +1.45% on sector flows; stable earnings leverage	Consolidation \$296-\$302; vol 322K; breakout candidate into week	Buy dip to \$298; trail at \$296.50	\$295 (support)	\$305-\$310 (2.5% upside); trim 30% at \$306	Med

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
SMCI	AI infrastructure play; +6.99% rally; higher-beta semiconductor recovery	Breakout \$51.35 high; vol 2.19M; momentum continuation likely	Dip to \$49.50; trail stop \$48.50	\$47.50 (major support)	\$54-\$56 (post-earnings upside); trim at \$54	Med
DG	Earnings today pre-open; UBS Buy \$168 target; retail earnings watch	Pre-earnings consolidation; watch for gap/move at 6:30 AM ET	If gap up, wait for 9:30 AM flush then buy dips; if down, sell rally	Entry -3% (tight earnings stop)	\$165-\$170 on beat; exit into strength	Med
BAC	Banking sector vol; +1.92% on strong macro bid; earnings leverage	Consolidation \$51.41-\$52.70; breakout candidate	Buy dip to \$51.50; trail stop \$51	\$50.75 (support)	\$53.50-\$54.50 (2% upside); trim 40% at \$53.50	Med
XBI	Biotech weakness -4.37%; cycle opportunity long; oversold signal	Oversold on daily RSI likely <40; reversion candidate into week end	Add on further dip to \$126; trail stop \$125.50	\$124.50 (major support break)	\$131-\$133 (reversion +3-4%); trim 50% at \$131	Low
ARM	Semiconductor cycle; -1.48% but vol 504K; institutional positioning unclear	Pullback from \$427 high; potential consolidation \$388-\$427 range	Dip to \$395; trail stop \$390	\$385 (support)	\$415-\$425 (5% upside); trim at \$420	Low

DYNAMIC WATCHLIST — TODAY'S SCAN

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
#1	PANW	Earnings today after close; cybersecurity leadership; vol spike expected	Flat-to-down ahead of earnings; iv rank est. 65-75%	\$418	\$435	Earnings setup; consolidation before event
#2	AVGO	Earnings Wed; target raised to \$490; AI data center upside	Up +4.74% on analyst revision; strong momentum	\$470	\$488.68	Breakout trending; earnings runner
#3	CRWD	Earnings Wed; large-cap security; iv rank est. 60-70%	Monitor premarket; watch for pre-earnings hedging	\$420 est.	\$445 est.	Earnings event risk
#4	FCX	Copper/ industrial metals; resource rotation bid; +7.04%	Strong momentum; vol 1.37M	\$69.50	\$72.08	Breakout continuation; real assets bid
#5	DG	Earnings today pre-open; UBS reiterated Buy	Flat; watch 6:30 AM earnings print	\$160	\$168	Pre-earnings consolidation
#6	SMCI	AI semiconductor; +6.99% momentum; earnings leverage	Strong rally continuation; vol 2.19M	\$48.60	\$51.35	Breakout trending; short-term runner
#7	XBI	Biotech ETF weakness -4.37%;	Down hard; potential	\$126- \$127	\$131.97	Oversold bounce setup

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
		oversold reversion candidate	buyer level emerging			
#8	JPM	Banking sector flows; stable earnings leverage; +1.45%	Positive on sector rotation; vol 322K	\$296.50	\$302.06	Consolidation breakout candidate
#9	GOOGL	AI overshoot correction; -3.83% pullback; valuation reset candidate	Down on growth-to-value rotation; vol 1.84M	\$358.51	\$373.50	Daily pullback; potential dip buyer level
#10	BA	Industrial reshoring bid; aerospace/defense cycle; -2.96% pullback	Down on sector vol; monitor for entry	\$215.05	\$224.54	Pullback in strong sector trend

POSITION BOOK ACTIONS

BUY	AVGO	Earnings Wed, target raised \$490, breakout on vol, +4.74% momentum; buy dips to \$475
ADD	FCX	Resource rotation bid, copper reopening play, +7.04%, vol 1.37M; add dips to \$70.50

WHEEL / PREMIUM SELLING BOOK

TICKER	SECTOR	IV RANK	DELTA	DTE	STRIKE
JPM	Financials	45	0.30	21	\$295-\$298 puts
FCX	Materials	55	0.25	21	\$69-\$70.50 puts

HOLD	JPM	Banking sector flows, +1.45%, consolidating into breakout; hold for \$305 target
BUY	XBI	Biotech oversold -4.37%, reversal candidate, vol spike; buy dips to \$126
HEDGE	GOOGL	Growth-to-value rotation, -3.83%, buy protective puts ahead of earnings week
EXIT	MSTR	Down -9.12%, btc weakness, no clear catalyst; reduce exposure on bounce
TRIM	ARM	

TICKER	SECTOR	IV RANK	DELTA	DTE	STRIKE
BAC	Financials	50	0.28	21	\$51-\$51.50 puts
AVGO	Semis	60	0.35	14	\$475-\$480 puts
XBI	Biotech	65	0.30	21	\$125-\$126.50 puts

RISK ALERTS

- EARNINGS WEEK VOLATILITY: AVGO, CRWD, PANW, DG report today/Wed; expect elevated gamma/vega
- GEOPOLITICAL TAIL RISK: US-Iran tensions, Strait of Hormuz negotiations; oil/equities sensitive
- PROFIT-TAKING RISK: Equities near records after Monday run; futures -0.24% premarket suggests distribution

GROWTH-TO-VALUE ROTATION ACCELERATING: GOOGL -3.83%, IBB -3.03%, XBI -4.37%; stay nimble on sector shifts

BIOTECH WEAKNESS: XBI/IBB down hard; watch for capitulation/reversal signal before adding

FINAL CIO VERDICT

RISK POSTURE

Neutral

CAPITAL SHOULD FLOW TO

AVOID COMPLETELY